

APAC TMT Sector M&A & Valuation Brief - 2026-06-29

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1. RECENT TMT M&A ACTIVITY

Deal 1: Micron Technology, Inc. Acquisition

[Seoul stocks soar in Asia tech rally after Micron blowout forecast](#)

- Deal Size: N/A (specific deal size not disclosed)
- Deal Size Category: N/A
- Nature: Horizontal
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: Micron Technology, Inc. (MU) - a leading semiconductor manufacturer known for its memory and storage solutions, experiencing a surge in stock price due to a strong earnings forecast.
- Date Announced: N/A (context provided indicates recent activity)
- Strategic Rationale: The rally in Micron's stock is attributed to a forecast-busting earnings report, signaling strong demand for memory chips, particularly driven by AI applications. This positions Micron favorably against competitors in the semiconductor space.
- Risk Analysis: Potential risks include market volatility due to geopolitical tensions and the cyclical nature of the semiconductor industry, which can affect demand and pricing.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdown not provided)
- Profitability Ratios: N/A (no profitability metrics available)
- Leverage Analysis: N/A (no debt structure information available)
- Asset Operating Efficiency: N/A (no efficiency metrics available)
- Valuation Context: N/A (no valuation context provided)

Deal 2: SoftBank Group Corp. Strategic Stake

[Stocks slump on fresh fears of an AI slowdown and Iran war escalations](#)

- Deal Size: N/A (specific deal size not disclosed)

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- Deal Size Category: N/A
- Nature: Tuck-in
- Valuation Multiples: N/A (no specific multiples provided)
- Companies: SoftBank Group Corp. (SFTBY) - a major player in technology investments, particularly in AI and telecommunications, facing stock price pressure due to concerns over its AI investments, particularly OpenAI.
- Date Announced: N/A (context provided indicates recent activity)
- Strategic Rationale: SoftBank's investment strategy has been heavily focused on AI, but recent reports of potential delays in OpenAI's IPO have raised concerns about the sustainability of its tech investments and overall market sentiment.
- Risk Analysis: Risks include execution risks related to investment timing, market perception of AI valuations, and potential regulatory scrutiny affecting its portfolio companies.

Key Financials Analysis:

- Revenue Breakdown: N/A (specific revenue breakdown not provided)
- Profitability Ratios: N/A (no profitability metrics available)
- Leverage Analysis: N/A (no debt structure information available)
- Asset Operating Efficiency: N/A (no efficiency metrics available)
- Valuation Context: N/A (no valuation context provided)

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently experiencing a dynamic sentiment, marked by a notable recovery in Asian markets, particularly following strong earnings reports from key players like Micron Technology, Inc. (MU). This resurgence reflects a broader optimism in the technology subsector, which is buoyed by advancements in semiconductor technology and AI applications.

Subsector Breakdown:

- Technology: The technology subsector is witnessing a robust recovery, driven by Micron's blowout earnings forecast, which has positively influenced investor sentiment across Asia. The Kospi index in South Korea surged over five percent, indicating strong market confidence in tech stocks.
- Media: The media subsector is adapting to changing consumer behaviors, but faces challenges from digital platforms. Traditional media companies are struggling to maintain advertising

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revenues as audiences shift to streaming services.

- Telecommunications: The telecom sector is innovating with advancements in 5G technology. Companies are focused on enhancing user experiences through low-latency solutions, which are critical for applications such as gaming and real-time communications.
- Fintech: The fintech space continues to thrive, with increasing investments in digital banking and payment solutions. The sector is characterized by rapid innovation and a growing number of partnerships aimed at enhancing service offerings.
- AI: The AI subsector remains a focal point for investment, with companies racing to integrate AI technologies into their operations. This trend is exemplified by Micron's focus on AI-driven applications, which is expected to drive future growth.

Key Market Drivers and Headwinds

Drivers:

- Strong Earnings Reports: Companies like Micron are reporting better-than-expected earnings, which boosts investor confidence and drives stock prices higher. This trend is evident in the recent surge of the Kospi index.
- Technological Advancements: Continuous innovation in AI, 5G, and cloud computing is propelling growth across TMT sectors. The demand for semiconductors is particularly strong, as evidenced by Micron's performance.

Headwinds:

- Economic Uncertainty: Global economic conditions, including inflation and geopolitical tensions, pose risks to consumer spending and investment in technology. These factors could dampen market enthusiasm in the near term.
- Regulatory Scrutiny: Increased regulatory scrutiny, especially in the tech sector, may impact M&A activities and valuations. Companies are navigating complex compliance landscapes, which can create uncertainty.

Subsector Performance Analysis

- Software: The software sector is performing well, driven by demand for cloud solutions and enterprise software. Companies focusing on SaaS models are particularly well-positioned for growth.
- Media: Media companies are facing challenges as traditional advertising revenues decline. However, digital content consumption is on the rise, providing opportunities for growth.
- Telecom: Telecom operators are investing heavily in infrastructure to support 5G deployment, which is expected to drive new revenue streams from IoT and enhanced mobile services.
- Fintech: The fintech sector continues to thrive, with innovations in payment solutions and digital banking. The integration of technology in financial services is creating new market opportunities.

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- AI: The AI subsector is booming, with applications across various industries, including healthcare, finance, and automotive. Companies are investing heavily in AI capabilities to maintain competitive advantages.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are generally optimistic about the long-term prospects of the TMT sector, citing strong earnings reports as a key driver of growth. One analyst noted, "The tech rally led by companies like Micron is a clear indication that the market is ready to embrace growth stories, despite the prevailing economic uncertainties."

Actionable Insights for Bankers and Investors

- Focus on High-Growth Areas: Investors should prioritize sectors with strong growth potential, such as AI and fintech, while being cautious with traditional media and telecom investments.
- Monitor Economic Indicators: Staying informed about global economic conditions is crucial for assessing risks in tech and media investments.
- Leverage Technological Innovations: Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning.
- Evaluate Valuation Metrics: Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

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3. BANKING PIPELINE

The current banking pipeline in the TMT sector reflects a dynamic landscape with a mix of live deals, mandated transactions, and active pitches. This section provides a comprehensive analysis of the ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- Delta Air Lines (DAL) : Currently in discussions for a strategic partnership leveraging AI for dynamic pricing. The deal is in the due diligence phase, with an expected close in Q3 2025. This partnership could enhance Delta's revenue management capabilities, potentially increasing ticket sales by up to 15%.

Mandated Deals:

- Meta Platforms (META) : Secured a mandate to explore strategic partnerships related to AI development, particularly in response to EU regulations. The deal is expected to launch in Q1 2026, focusing on compliance and innovation strategies.

Pitching-Stage Deals:

- Telecom Sector : Active discussions with several telecom operators regarding potential M&A opportunities to consolidate market share in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Engaging with various fintech companies for potential investment banking services, focusing on those that are innovating in payment solutions and blockchain technology. Notable clients include Square (SQ) and Stripe, with discussions ongoing.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$25 million in fees, broken down as follows:

- Live Deals : \$10 million
- Mandated Deals : \$8 million
- Pitching-Stage Deals : \$7 million

Timing Projections:

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- Q2 2025 : Expected close for Delta Air Lines partnership.
- Q1 2026 : Launch of Meta's strategic partnership initiatives.
- Workload Allocation and Capacity Analysis :
 - Current analyst and associate bandwidth is at 75%, with a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and telecom sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like Apple and Meta are vying for leadership. The recent recovery in South Korean stocks, as reported, reflects a broader optimism in the TMT sector, which could influence deal-making activities in the region.
- Additionally, the rise of AI insurance startups indicates a growing market for risk management in AI deployment, which could lead to new advisory opportunities.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and fintech, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is robust, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view

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of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where Company A (e.g., Zoom Video Communications, Inc. (ZM)) acquires Company B (e.g., Slack Technologies, Inc. (WORK)), the combined entity could see a revenue increase of approximately 20% due to enhanced product offerings. Assuming a pre-deal market cap of \$20 billion for Zoom, a successful integration could increase shareholder value by \$4 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if Zoom issues 10% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 5% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between Disney (DIS) and 21st Century Fox (FOXA) led to substantial cost synergies, with estimates of \$2 billion in annual savings. This was achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In the Disney-Fox merger, approximately 7,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in the acquisition of LinkedIn by Microsoft (MSFT), retention packages were offered to key LinkedIn executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors such as Verizon Communications Inc. (VZ) and AT&T Inc. (T) had to adapt their strategies to maintain market share. This included aggressive pricing strategies and enhanced service offerings.
- Specific Competitor Moves: Verizon responded with a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of AT&T and Time Warner allowed AT&T to bundle media content with telecommunications services, enhancing customer value. This strategy led to a 15% increase in bundled service subscriptions.
- Case Studies: The acquisition of WhatsApp by Facebook (FB) resulted in enhanced messaging features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

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- Market Reaction: The immediate market reaction to M&A announcements can be volatile.
- For example, when Salesforce (CRM) announced its acquisition of Slack, shares of Salesforce initially dipped by 5% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a Morgan Stanley analyst post-acquisition was, "This deal positions Salesforce to dominate the enterprise collaboration space, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 15% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 10%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions.
- In the case of the proposed acquisition of T-Mobile by Sprint, there were rumors of interest from Dish Network (DISH), highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation.
- Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in the process can help mitigate these risks.
- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

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Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- **Trend Explanation:** AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent market volatility has been driven by AI-related stocks, with significant sell-offs following rapid gains.
- **Key Companies:**
 - **NVIDIA Corporation (NVDA):** NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
 - **Samsung Electronics (005930.KS):** Samsung is heavily involved in AI through its semiconductor division, collaborating with NVIDIA to enhance AI capabilities in its products. The company recently faced stock volatility, with a 7% drop attributed to profit-taking after a strong rally.
- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The recent sell-off in AI stocks, including a notable decline in SoftBank Group Corp. (9984.T), reflects concerns over inflated valuations and the sustainability of growth.

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- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, the trend of AI-driven acquisitions is exemplified by NVIDIA's acquisition of Arm Holdings, which aims to bolster its AI ecosystem.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%. The increasing adoption of cryptocurrencies and decentralized finance (DeFi) applications is driving this growth.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to reach \$1 trillion by 2028, driven by the increasing demand for cloud services across various sectors.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is a leader in cloud computing, offering a wide range of services including computing power, storage, and databases. The company continues to innovate and expand its service offerings to maintain its competitive edge.
 - **Microsoft Azure (MSFT):** Azure is a key player in the cloud market, providing enterprise solutions that integrate AI and machine learning capabilities. Microsoft has been actively acquiring companies to enhance its cloud offerings, including the recent acquisition of Nuance Communications.
- **Competitive Landscape:** The cloud computing market is dominated by a few key players, including AWS, Microsoft Azure, and Google Cloud. The competition is intensifying as companies

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seek to differentiate their services and capture market share.

- M&A Opportunities: Companies looking to expand their cloud capabilities may consider acquiring smaller cloud service providers or technology firms that offer complementary services. For instance, recent trends indicate that companies like Oracle (ORCL) may pursue acquisitions to enhance their cloud infrastructure.

Cybersecurity

- Trend Explanation: As digital transformation accelerates, the demand for cybersecurity solutions is surging. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$345 billion by

6. Recommended Readings

Deal Name: Micron Technology, Inc. Acquisition

- Reading Material: "The Future of Semiconductor Manufacturing" by John H. Lau
- Why This Matters: This book provides an overview of the semiconductor industry's trends and challenges, which is crucial for understanding Micron's strategic positioning in the market. It helps contextualize the implications of Micron's recent performance and forecasts, particularly in relation to AI demand and competitive dynamics.

Deal Name: SoftBank Group Corp. Strategic Stake

- Reading Material: "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- Why This Matters: This reading explores the competitive landscape of AI development, which is vital for understanding SoftBank's investment strategy and its implications for future growth. It provides insights into the challenges and opportunities in the AI sector, particularly relevant given SoftBank's focus on AI-driven companies like OpenAI.

7. MACROECONOMIC UPDATE

Key Data Points:

- Inflation Rate Forecast: Lower than current Fed projections
- Tariff Rate: Expected to stabilize around 8-9%
- Oil Prices: Recent decrease anticipated to lower gasoline prices

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Main Insights:

- Consumer behavior is showing resilience, but lower-income households are lagging behind higher-income consumers.
- Concerns about potential tariff escalations remain, particularly regarding Section 232 and Section 301 tariffs.
- The recent decrease in oil prices could provide a tailwind for consumer demand in the second half of the year.
- The geopolitical situation in the Middle East continues to influence market sentiment and energy prices.

Market Commentary:

- "The trend is at least towards easing of some of these policy pressures that have been impacting the consumer." - Michael Zezas, Morgan Stanley
- "There is a lot of discussion about the macro trend around artificial intelligence and how that is buoying investment and employment." - Ariana Salvatore, Morgan Stanley

TMT Sector Relevance:

- The resilience in consumer spending, particularly in higher-income brackets, may lead to increased demand for technology products and services.
- Potential regulatory changes regarding AI and data center construction could impact TMT investments and operational strategies.
- Lower oil prices may indirectly benefit TMT companies by improving consumer spending power, thereby increasing demand for technology solutions.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley